

When Jobs End:

Layoffs, Quits, and Retirement Cash-Outs

Tai Lo Yeung*

September 2026

Abstract

An involuntary job loss can reduce household liquidity, while any job ending can alter how employer-plan balances are handled. I use two regimes of the Survey of Income and Program Participation and direct reports of pension or retirement lump sums and rollover plans to study annual non-rollover distributions. A conventional permanent-layoff–no-layoff comparison yields a 1.74-percentage-point association, relative to a 0.79-percent mean. Holding the sample and specification fixed produces a 1.55-point permanent-layoff contrast and a 0.40-point involuntary–voluntary separation contrast. Among prior workers reporting a 401(k) or thrift account, both voluntary and involuntary separators have higher non-rollover incidence than continuers, while their difference is imprecise. Outcome accounting shows that receipt rises for both groups and that most of each receipt difference is accounted for by non-rollover. Non-rollover is therefore elevated around separation broadly, and the treatment-and-comparison definition is central to interpreting a layoff coefficient.

JEL: D14, G51, J32, J63. Keywords: job separation, retirement distribution, non-rollover, pension, household finance.

*Università della Svizzera italiana; tai.lo.yeung@usi.ch. The analysis uses public-use Survey of Income and Program Participation files from the U.S. Census Bureau. Replication materials accompany the paper. All errors are my own.

1 Introduction

Leaving a job is both a labor-market event and a retirement-plan event. An involuntary separation reduces earnings and can make liquid resources more valuable. Any separation, however, may also change the choices surrounding assets in an employer plan: balances can remain in place, move to another tax-advantaged account, or be distributed. This creates a basic empirical question. Is elevated retirement non-rollover around job loss specific to involuntary displacement, or does it accompany job separation more generally?

The main finding is that non-rollover rises around separation broadly. Among prior workers who reported 401(k) or thrift ownership before the outcome year, both voluntary and involuntary separators are more likely than continuing workers to report a pension or retirement lump sum that they neither rolled over nor planned to roll over. The additional involuntary–voluntary contrast is positive but imprecise. A conventional layoff–no-layoff comparison is therefore informative about the joint circumstances surrounding layoff, but it cannot by itself distinguish a general separator association from any additional association with involuntary job loss.

I establish this result with three complementary comparisons. First, I construct a sample with predetermined labor-force attachment and reported plan ownership. Relative to continuers, voluntary and involuntary separation are associated with 1.95- and 2.78-percentage-point increases in non-rollover. The corresponding weighted rates are 0.78 percent for continuers, 2.61 percent for voluntary separators, and 3.68 percent for involuntary separators. Both separator–continuer gaps appear in the 2014–2016 and 2018–2022 SIPP regimes. The incremental involuntary–voluntary estimate is 0.83 points, with a 95-percent confidence interval of $[-0.47, 2.13]$.

The accounting of reported distributions sharpens this first comparison. Relative to continuers, receipt rises by 2.87 points for voluntary separators and 3.61 points for involuntary separators. Completed or planned rollover rises by 0.92 and 0.83 points. The remaining increases—1.95 and 2.78 points—are non-rollover distributions. Separation is therefore associated with more activity on both disposition paths, with the larger increase occurring in non-rollover. Because receipt is an outcome-stage variable that may respond to separation, the analysis makes unconditional incidence primary rather than conditioning on the selected set of recipients.

Second, I relate the preferred comparison to the conventional permanent-layoff benchmark. Across 2014–2016 and 2018–2022, permanent layoff is associated with a 1.74-point increase in annual non-rollover, relative to a 0.79-percent no-layoff mean.

Third, I hold 115,290 observations, outcome, weights, controls, fixed effects, strata, and

sampling clusters fixed while changing both the labor-market classification and its comparison group. The resulting permanent-layoff contrast is 1.55 points, whereas the involuntary–voluntary separation contrast is 0.40 points; their 1.15-point gap has $p = .021$. The two indicators are not nested and can refer to different jobs in the same annual record, so this exercise compares empirical contrasts rather than decomposing a causal effect.

The organizing distinction is between a general separation margin and an incremental involuntary-separation margin. The former can reflect plan rules, administrative defaults, worker attention, or selection into firms and jobs; the latter can additionally reflect earnings loss and liquidity needs. The SIPP makes that distinction empirically useful because it reports separation reasons and predetermined household finances together with distribution disposition.

Related literature and contribution. Earlier work using the Health and Retirement Study links job-change reasons, employment prospects, and economic or health shocks to pension disposition (Engelhardt, 2003; Hurd and Panis, 2006; Armour et al., 2017). Mahmoudi (2023) uses earlier SIPP panels to study late-career unemployment, annual 401(k) balance depletion, the age-55 penalty waiver, and unemployment insurance. Relative to the HRS evidence, I estimate unconditional annual distribution incidence in a working-age sample across two modern SIPP regimes. Relative to balance-depletion measures, I observe reported disposition directly rather than inferring withdrawals from account changes.

Administrative recordkeeping studies observe the account and plan far more precisely. They show that separation-related cash distributions vary sharply with account balance, default rules, and employer-contribution share (Hung et al., 2015; Wang et al., 2023; Goodman et al., 2023). SIPP provides the complementary objects: job-ending reasons and predetermined household finances. The labor literature documents persistent earnings, consumption, and wealth losses after displacement (Jacobson et al., 1993; Davis and von Wachter, 2011; Ganong and Noel, 2019), while the household-finance literature shows how liquid wealth, credit, unemployment insurance, and retirement accounts mediate responses to income risk (Chetty, 2008; Basten et al., 2016; Argento et al., 2015; Landais and Spinnewijn, 2021; Andersen et al., 2025).

The paper contributes in three ways. First, it shows across two separately sampled SIPP regimes that non-rollover is elevated for voluntary as well as involuntary separators with predetermined employment and reported plan ownership. Second, it demonstrates on an identical sample and specification that the conventional layoff association changes materially with the treatment-and-comparison definition. Third, direct disposition reporting and receipt-versus-rollover accounting make it possible to locate these contrasts in the distribution

decision. The choice of labor-market contrast is thus part of the economic interpretation, not a secondary robustness decision.

The remainder of the paper describes the institutional accounting and data, defines the three comparisons, and presents the results and their implications. The Online Appendix reports harmonization, alternative coding and inference, overlap and matching diagnostics, and timing evidence.

2 Outcome Accounting and Data

2.1 The distribution decision and outcome accounting

Job separation can affect retirement distributions through two conceptually distinct margins. Every separation can alter the administrative setting in which an employer-plan balance is handled. Involuntary separation can additionally reduce earnings and increase the value of liquidity. The empirical comparisons below distinguish a general separator association from an incremental involuntary-separation association.

The SIPP asks whether a respondent received a lump-sum payment from a pension or retirement plan during the reference year (`ELMPTYP1YN`), whether that payment was rolled into another retirement account (`EROLLOVR1`), and, if not, whether a rollover was planned (`EROLLOVR2`). Let D_{ipt} indicate receipt and let O_{ipt} indicate a completed or planned rollover. The primary outcome is

$$Y_{ipt} = D_{ipt} - O_{ipt}, \tag{1}$$

where $O_{ipt} = 1$ only for a reported recipient. Thus, for every labor-market group, the change in receipt is the sum of the change in completed or planned rollover and the change in non-rollover. This accounting motivates reporting all three outcomes. It also motivates making the unconditional probability of $Y_{ipt} = 1$ primary: conditioning on $D_{ipt} = 1$ selects on a distribution decision that can itself depend on separation, plan rules, and account balances.

The primary outcome equals one when the respondent reports a lump sum, reports no completed rollover, and either reports no planned rollover or is routed past the follow-up by questionnaire structure. A raw-file audit confirms that qualifying observations do not depend on treating a substantively unanswered future-rollover item as no. Requiring an explicit no produces the same qualifying events in the primary sample.

I call this outcome a non-rollover distribution. The phrase *cash-out* is common in the literature, but the SIPP item is broader than an observed penalized 401(k) withdrawal. The originating arrangement may be a defined-contribution plan, an individual account, a pension, or another retirement vehicle covered by the question. The public-use files do not identify

whether an additional tax applied, whether an exception was available, whether the proceeds were consumed, or whether they were later saved elsewhere.

Administrative studies therefore answer a more account-specific question. For example, Hung et al. (2015) use Vanguard records on 536,636 eligible employees in 385 plans, including 212,692 who had separated, and Wang et al. (2023) analyze 162,360 employees in 28 plans. Their distribution shares are conditional on plan participants and separation-related account decisions. The SIPP estimates are unconditional person-year probabilities in a defined worker sample, and the reported distribution need not come from the observed job. The levels are not expected to match.

2.2 Two SIPP regimes

The analysis combines the 2014 SIPP longitudinal panel with the 2018-and-later panels. The raw files cover reference years 2013–2016 in the earlier regime and 2017–2022 in the later regime. Specifications requiring a preceding annual observation begin in 2014 and 2018, respectively. Variable definitions are drawn from the Census SIPP user guide and panel dictionaries (U.S. Census Bureau, 2024). I re-extract the lump-sum, rollover, layoff, separation-reason, weight, stratum, and cluster variables from the monthly files and aggregate them to the person-year.

The public-use files labeled 2024 and 2025, covering reference years 2023 and 2024, are retained in the replication package but not pooled into the estimates. Census redesigned the retirement-income sequence beginning with the 2024 SIPP (U.S. Census Bureau, 2025b,a). The replacement fields record pension lump-sum receipt and amount, but not completed or planned rollover. Adding those years would therefore substitute a receipt outcome for the paper’s non-rollover outcome rather than extend a comparable series.

The same substantive outcome and job-ending definitions are available in both regimes, though job-continuity variable names differ. The annual outcome and permanent-layoff indicators are constructed directly from the retained raw files and reconciled to the harmonized estimation data on the analytic keys. The Online Appendix reports the crosswalk and endpoint counts; the replication files contain machine-readable sample-flow audits. The appendix also documents a Census user note concerning missing 2014 Wave 4 person weights (U.S. Census Bureau, 2020); observations with nonpositive December weights are not used in weighted estimation.

2.3 Three analytic samples

The unit of observation is the person-year. All samples restrict age to 25–64 and require a positive December person weight.

The preferred *prior-plan sample* requires observation in the preceding year, positive prior-year earnings, and prior reported ownership of a 401(k) or thrift account. A continuer has no observed ending reason in the outcome year and an affirmative harmonized continuity flag for the main job. Voluntary work-related endings use RSEND codes 7–9. Involuntary economic endings use codes 1, 2, 3, and 6: plant or company closure, slack work or business conditions, position or shift abolished, and other involuntary reasons. Person-years with seasonal completion, discharge, retirement, personal reasons, or mixed categories are excluded. The sample contains 39,481 person-years: 35,612 continuers, 2,458 voluntary separators, and 1,411 involuntary separators.

The *conventional layoff sample* requires an immediately preceding annual observation, common predetermined controls, and either a permanent layoff or no reported layoff. Temporary layoff person-years are excluded. The sample contains 62,555 observations in 2014–2016 and 59,920 in 2018–2022. Its 122,475 observations include 2,032 permanent-layoff person-years and 1,034 non-rollover events.

The *common comparison sample* is the exact intersection of the conventional layoff sample and the mutually exclusive reason-coded universe. It holds the analytic observations fixed when comparing the permanent-layoff–no-layoff and involuntary–voluntary coefficients. The intersection has 115,290 observations and 859 non-rollover events. It drops 7,185 conventional-sample observations in excluded other or mixed reason categories.

Prior plan ownership narrows the population to workers with predetermined reported plan exposure but does not create job-level linkage. A distribution reported in the outcome year may come from a different current or former job, an individual account, or another pension arrangement. The SIPP also does not reveal the balance in the particular plan associated with the job ending. This limitation is maintained throughout the interpretation.

2.4 Weights and survey design

Annual estimates use the December value of WPFINWGT. Taylor-linearized standard errors use the public-use GVARSTR strata and GHLFSAM sampling clusters. Both identifiers are interacted with SIPP panel so that numeric codes reused in independent panels are not treated as the same sampling unit. The models use year or state-by-year fixed effects as described below.

The public-use files used in the analysis contain the final weight and Taylor design variables but no replicate-weight fields or separate replicate-weight file. Accordingly, the headline infer-

ence is Taylor linearization rather than Fay’s balanced repeated replication. The replication package records this input audit explicitly. Household-within-panel clustered, unweighted, capped-weight, and alternative outcome-coding estimates are reported as sensitivities.

3 Empirical Strategy

3.1 Separators with predetermined plan ownership

The preferred plan-owner model is

$$100Y_{ipt} = \alpha + \beta_V V_{ipt} + \beta_I I_{ipt} + X'_{ip,t-1} \gamma + \mu_{st} + \varepsilon_{ipt}, \quad (2)$$

where the omitted group is continuing workers, V indicates a voluntary work-related separation, and I indicates an involuntary economic separation. Controls are determined before the outcome year and include demographics, homeownership, standardized prior earnings, liquid assets, retirement balance, and baseline industry. State-by-year fixed effects are denoted by μ_{st} .

The coefficients β_V and β_I compare each separator group with prior workers who also reported a 401(k) or thrift account and continued in their main job. Their difference, $\beta_I - \beta_V$, is the incremental conditional association for involuntary rather than voluntary separation. This sample improves comparability in prior labor-force attachment and reported plan exposure. It does not randomize the reason for separation or hold the employer and plan fixed.

I estimate equation (2) for receipt, completed or planned rollover, and non-rollover. By equation (1), the first coefficient equals the sum of the latter two for any given contrast. I make unconditional non-rollover primary because conditioning on receipt selects on an outcome-stage decision. Coarsened exact matching and alternative exposure definitions assess observed overlap; support is strongest for separator–continuer comparisons and thinner for involuntary–voluntary matching.

3.2 The conventional layoff comparison

The conventional linear probability model is

$$100Y_{ipt} = \alpha + \beta L_{ipt} + X'_{ip,t-1} \gamma + \lambda_t + \varepsilon_{ipt}, \quad (3)$$

where L_{ipt} indicates a permanent layoff and X contains age, age squared, education, homeownership, and log prior earnings. Calendar-year fixed effects are denoted by λ_t . The factor

100 puts coefficients in percentage points.

Equation (3) estimates a conditional association. Its no-layoff category is not equivalent to continued employment because it can include other job endings. Permanent layoff can also be correlated with employers, plans, balances, tenure, and worker characteristics omitted from the public-use files. I report this conventional contrast by SIPP regime and use it as the point of departure for the same-sample comparison below.

3.3 Holding the sample and specification fixed

On the common comparison sample, I estimate a permanent-layoff–no-layoff coefficient and, in a separate equation, an involuntary–voluntary reason-coded coefficient. Both models use the same outcome, observations, December weights, controls, state-by-year fixed effects, strata, and sampling clusters. The common control vector adds sex and race to the predetermined variables in equation (3). Thus, only the labor-market classification and its comparison group change.

I estimate the gap between coefficients with stacked Taylor estimating equations. Stacking retains the covariance induced by using the same observations and survey clusters rather than treating the estimates as independent. The exercise asks whether the two empirical contrasts are numerically the same under identical sample and specification choices.

The exercise is not a causal decomposition. The job-specific permanent-layoff flag and the annual reason-coded categories are not nested. A person-year can contain more than one job, and the fields can refer to different jobs. Only 713 of 1,577 permanent-layoff rows in the common sample are classified as purely involuntary by the reason-code rule, and only 713 of 3,826 purely involuntary rows have the permanent-layoff flag. The Online Appendix reports the classification overlap and the selected concordant sensitivity.

4 Results

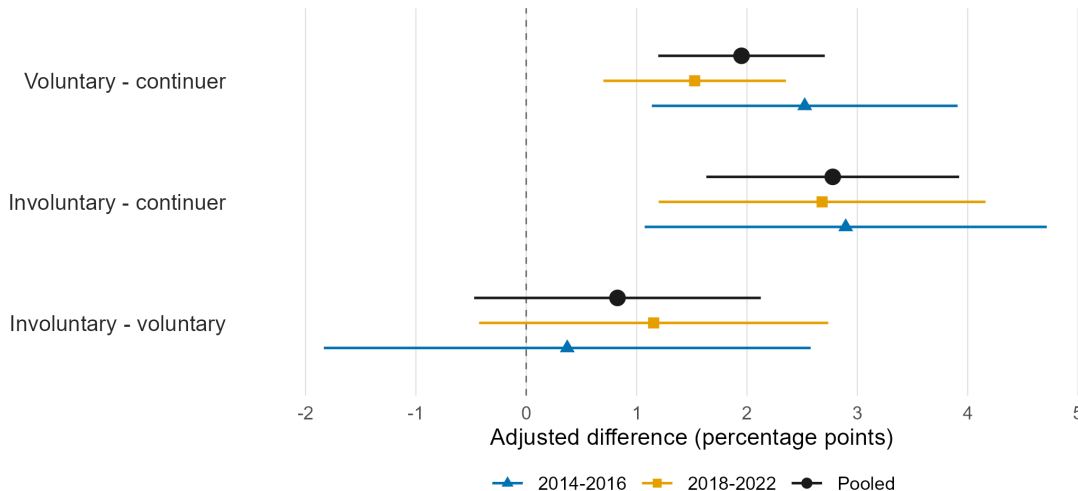
The results follow the empirical hierarchy developed above. I begin with the preferred comparison among prior workers with reported plan ownership, then report the conventional permanent-layoff benchmark, and finally hold the sample and specification fixed while changing the labor-market contrast.

4.1 Job separation and the distribution decision

Figure 1 presents the preferred comparison. Among workers with predetermined earnings and reported 401(k) or thrift ownership, voluntary and involuntary separators both have higher

non-rollover incidence than continuers. The pattern appears in 2014–2016 and 2018–2022 as well as in the pooled sample. The direct involuntary–voluntary contrast is smaller and less precisely estimated.

Figure 1. Separation and non-rollover distributions with predetermined plan ownership



Notes: Points are adjusted differences from equation (2), in percentage points; horizontal bars are 95-percent confidence intervals from Taylor-linearized standard errors. The sample requires positive prior earnings and prior reported ownership of a 401(k) or thrift account. Regressions use December person weights, predetermined controls, prior industry, and state-by-year fixed effects.

Table 1 reports the corresponding rates and distribution accounting. Non-rollover occurs in 0.78 percent of continuer person-years, 2.61 percent of voluntary-separator person-years, and 3.68 percent of involuntary-separator person-years. Relative to continuers, adjusted receipt increases by 2.87 points for voluntary separators and 3.61 points for involuntary separators. Completed or planned rollover increases by 0.92 and 0.83 points. Equation (1) therefore leaves non-rollover increases of 1.95 and 2.78 points. The incremental involuntary–voluntary estimate is 0.83 points, with a 95-percent confidence interval of $[-0.47, 2.13]$.

The two SIPP regimes provide the same qualitative ordering. Voluntary–continuer estimates are 2.52 points in 2014–2016 and 1.53 points in 2018–2022; involuntary–continuer estimates are 2.89 and 2.68 points. The incremental contrast is 0.37 points in the earlier period and 1.15 points in the later period, with wide confidence intervals in each. The regime-specific estimates support a recurring separator–continuer gap; they do not establish equality between voluntary and involuntary separators.

The pattern is stable across alternative definitions of prior plan exposure and job continuity (Online Appendix Table D.6). Coarsened exact matching yields a 1.00-point involuntary–voluntary estimate with a 95-percent confidence interval of $[-0.46, 2.47]$ (Online Appendix Table D.7). Matching improves observed balance, but common support is thinner for the

Table 1. Retirement distributions after job separation

	Continuer	Voluntary	Involuntary
<i>Panel A. Pooled weighted rates and unweighted counts</i>			
Non-rollover rate (%)	0.78	2.61	3.68
Non-rollover events	291	67	49
Person-years	35,612	2,458	1,411
	Voluntary minus continuer	Involuntary minus continuer	Involuntary minus voluntary
<i>Panel B. Pooled adjusted differences in percentage points</i>			
Received lump sum	2.87*** (0.45)	3.61*** (0.67)	0.74 (0.75)
Completed or planned rollover	0.92*** (0.22)	0.83*** (0.31)	-0.09 (0.35)
Not rolled over	1.95*** (0.38)	2.78*** (0.58)	0.83 (0.66)

Notes: The sample contains people ages 25–64 observed in the immediately preceding reference year, with positive prior earnings and prior ownership of a 401(k)/thrift account. Continuers report no job-ending reason and an affirmative job-continuity flag. Voluntary endings use RSEND 7–9; involuntary economic endings use RSEND 1, 2, 3, and 6. Other and mixed endings are excluded. Panel A reports weighted non-rollover rates and unweighted counts. Panel B reports pooled estimates from separate regressions for receipt, completed or planned rollover, and non-rollover; receipt is the sum of the latter two outcomes. Regressions use December person weights, predetermined demographics and finances, prior industry, and state-by-year fixed effects. Parentheses report Taylor-linearized standard errors using panel-interacted SIPP strata and PSUs. SIPP does not link a distribution to the job that ended. *** $p < 0.01$.

direct separator-type comparison than for either separator–continuer comparison.

4.2 The conventional permanent-layoff contrast

Table 2 reports the conventional comparison. Permanent layoff is associated with a 2.78-point increase in 2014–2016 and a 1.10-point increase in 2018–2022. The pooled estimate is 1.74 points with a Taylor standard error of 0.40, relative to a pooled weighted no-layoff mean of 0.79 percent.

Table 2. Permanent layoff and non-rollover distributions

	2014–2016	2018–2022	Pooled	Late – early
Permanent layoff (pp)	2.78*** (0.80)	1.10*** (0.41)	1.74*** (0.40)	-1.68* (0.89)
No-layoff mean (pp)	0.75	0.82	0.79	–
Observations	62,555	59,920	122,475	–
Non-rollover events	521	513	1,034	–
Events among permanent layoffs	30	26	56	–

Notes: The dependent variable is 100 times an indicator for receiving a pension or retirement lump sum that was not rolled over and for which the respondent did not report a future rollover plan. The sample includes people ages 25–64 observed in the prior year and compares permanent layoffs with person-years containing no layoff; temporary layoffs are excluded. Specifications use the December person weight, calendar-year effects, and controls for age, age squared, education, homeownership, and log prior earnings. Parentheses report Taylor-linearized standard errors using GVARSTR strata and GHLFSAM sampling clusters interacted with SIPP panel. The final column is the permanent-layoff-by-late-era interaction. Alternative inference, weight, coding, and influence results appear in the Online Appendix. ***/**/* denote significance at 1/5/10 percent.

The late-minus-early interaction is -1.68 points with a standard error of 0.89 ($p = .061$), so the pooled coefficient should not be interpreted as time invariant. The positive sign nevertheless appears in a separately sampled pre-pandemic panel and in the later panels. The estimate is not driven by a single year, treated event, weighting convention, or outcome coding choice (Online Appendix Table B.1). These checks establish numerical stability, not causal identification.

4.3 Holding sample and specification fixed

Table 3 compares the two labor-market contrasts on their exact common intersection. The pooled permanent-layoff coefficient is 1.55 points, while the involuntary–voluntary reason-coded coefficient is 0.40 points. Their gap is 1.15 points with a standard error of 0.50 and a p -value of .021.

Table 3. Holding the sample and specification fixed

	2014–2016	2018–2022	Pooled
Permanent layoff – no layoff	2.58*** (0.91)	0.95** (0.41)	1.55*** (0.43)
Involuntary – voluntary	0.25 (0.50)	0.56 (0.53)	0.40 (0.37)
Contrast gap: first – second	2.33 (0.89)	0.38 (0.62)	1.15 (0.50)
p -value for contrast gap	0.009	0.538	0.021
Observations	58,697	56,593	115,290
Non-rollover events	424	435	859

Notes: The intersection holds observations, years, outcome, December weights, controls, state-by-year fixed effects, and Taylor survey design fixed across treatment definitions. The unlabeled rows below coefficients report Taylor-linearized standard errors. The contrast gap is the first coefficient minus the second; its standard error and p -value use cross-equation covariance from stacked Taylor estimating equations. The treatment indicators are not nested and can refer to different jobs within an annual record, so the difference is a comparison of coefficients, not a causal decomposition. *** $p < 0.01$, ** $p < 0.05$.

The common sample removes differences in observations, outcome coding, weights, covariates, fixed effects, and survey design as explanations for the coefficient gap. It does not hold the treatment definition fixed: the permanent-layoff comparison places a job-specific indicator against a broad no-layoff category, whereas the reason-coded comparison contrasts two types of economic job endings. Because the classifications are not nested and the distribution is not linked to either job, the 1.15-point gap is not the share caused by institutional access or the share not caused by distress. It shows that the empirical interpretation changes materially with the treatment-and-comparison definition.

5 Economic Interpretation and Institutional Implications

5.1 A separation-centered interpretation

The results organize around one empirical distinction. A general separation margin appears in the positive voluntary–continuer and involuntary–continuer coefficients. An incremental involuntary-separation margin is captured by the direct difference between separator types. The first margin is present in both SIPP regimes; the second is positive in the pooled sample but not tightly estimated.

This pattern is consistent with potentially important institutional and selection channels.

Job endings can activate balance-dependent distribution options, defaults, employer communications, and decisions that otherwise remain passive; different workers and firms may also sort into plans with different rules (Hung et al., 2015; Wang et al., 2023; Goodman et al., 2023). Involuntary job loss can add earnings risk and liquidity needs. The receipt-versus-rollover accounting shows that both separator groups report more distributions on both disposition paths, with the larger increase in non-rollover. The common-sample comparison further shows that a layoff–no-layoff coefficient cannot distinguish a general separator association from any incremental involuntary association.

5.2 Limits of the evidence

The public-use SIPP lacks a job-to-distribution link, employer identifiers, plan rules, account-specific balances, and transaction timing. A voluntary separator may anticipate a new job; an involuntary separator may face a longer income loss. The groups can differ in unobserved tenure, earnings risk, firm quality, account size, and defaults. Prior earnings and reported plan ownership improve comparability but do not hold these characteristics fixed.

The data also do not establish that voluntary and involuntary separators behave identically. The pooled confidence interval permits both no incremental involuntary association and an increase above two percentage points, while observed overlap is weaker for the direct separator-type comparison. The supported conclusion is that elevated non-rollover is not confined to involuntary separators, not that the incremental involuntary margin is zero.

A non-rollover distribution is also not necessarily consumed, penalty-bearing, or permanently removed from retirement saving. The survey does not identify an early-distribution tax, an exception, later recontribution, debt repayment, or saving outside retirement accounts. The analysis therefore does not attach a welfare loss to every event or estimate a penalty elasticity. Administrative transactions and tax records are better suited to those questions (Coyne et al., 2022; Goda et al., 2022; Andersen et al., 2025).

5.3 Policy and research implications

The separation-centered pattern motivates attention to retirement-plan choice architecture at all job endings. Automatic portability, rollover defaults, small-balance rules, and timely information could affect the common separator elevation. The present design cannot rank those policies or determine whether broader access to retirement wealth raises or lowers welfare.

A decisive next design would link plan or tax records to employer-side separations. It would observe the account attached to the ended job, its balance, plan defaults, distribution

and rollover dates, tax treatment, and subsequent employment. Firm closures or mass layoffs could then supply variation in involuntariness while holding the institutional object of the decision in view. Such data would separate institutional opportunity, selection, and financial distress more sharply than a household survey can.

6 Conclusion

This paper studies retirement-plan distributions around job separation using direct reports of receipt and rollover disposition. Among prior workers reporting 401(k) or thrift ownership, non-rollover is elevated for voluntary as well as involuntary separators relative to continuers. Receipt rises for both groups, and most of each receipt difference is accounted for by non-rollover. The same qualitative pattern appears in two SIPP regimes.

The conventional permanent-layoff association is economically large, but its interpretation depends on the labor-market contrast. On an identical sample and specification, the permanent-layoff–no-layoff coefficient substantially exceeds the involuntary–voluntary separation coefficient. Because the classifications are not nested and distributions are not linked to ended jobs, the comparison does not allocate the gap to institutional access, selection, or financial distress. It shows that a layoff coefficient against a broad no-layoff group cannot distinguish a general separator association from any incremental involuntary-separation association.

Linked employer, plan, and transaction records are needed to distinguish those channels and evaluate the welfare consequences of non-rollover. Until such data are available, the treatment-and-comparison definition is part of the economic result, not a secondary robustness choice.

References

- Andersen, H. Y., Moran, P., Leth-Petersen, S., and Bartscher, A. K. (2025). Liquidity design in pension accounts: Evidence from early withdrawals. Working paper (also circulated as “Early Withdrawals and Optimal Liquidity”), November 2025.
- Argento, R., Bryant, V. L., and Sabelhaus, J. (2015). Early withdrawals from retirement accounts during the Great Recession. *Contemporary Economic Policy*, 33(1):1–16.
- Armour, P., Hurd, M. D., and Rohwedder, S. (2017). Trends in pension cash-out at job change and the effects on long-term outcomes. In Wise, D. A., editor, *Insights in the Economics of Aging*, pages 15–39. University of Chicago Press, Chicago.

- Basten, C., Fagereng, A., and Telle, K. (2016). Saving and portfolio allocation before and after job loss. *Journal of Money, Credit and Banking*, 48(2–3):293–324.
- Chetty, R. (2008). Moral hazard versus liquidity and optimal unemployment insurance. *Journal of Political Economy*, 116(2):173–234.
- Coyne, D., Fadlon, I., and Porzio, T. (2022). Measuring the valuation of liquidity with penalized withdrawals. Working Paper 30007, National Bureau of Economic Research.
- Davis, S. J. and von Wachter, T. (2011). Recessions and the costs of job loss. *Brookings Papers on Economic Activity*, 43(2):1–72.
- Engelhardt, G. V. (2003). Reasons for job change and the disposition of pre-retirement lump-sum pension distributions. *Economics Letters*, 81(3):333–339.
- Ganong, P. and Noel, P. (2019). Consumer spending during unemployment: Positive and normative implications. *American Economic Review*, 109(7):2383–2424.
- Goda, G. S., Jones, D., and Ramnath, S. (2022). Temporary and permanent effects of withdrawal penalties on retirement savings accounts. *Journal of Public Economics*, 215:104734.
- Goodman, L., Mukherjee, A., and Ramnath, S. (2023). Set it and forget it? Financing retirement in an age of defaults. *Journal of Financial Economics*, 148(1):47–68.
- Hung, A. A., Luoto, J., and Burke, J. (2015). Defaulting in and cashing out? The impact of retirement plan design on the savings accumulation of separating employees. Working Paper WR-1115, RAND Corporation.
- Hurd, M. D. and Panis, C. (2006). The choice to cash out pension rights at job change or retirement. *Journal of Public Economics*, 90(12):2213–2227.
- Jacobson, L. S., LaLonde, R. J., and Sullivan, D. G. (1993). Earnings losses of displaced workers. *American Economic Review*, 83(4):685–709.
- Landais, C. and Spinnewijn, J. (2021). The value of unemployment insurance. *Review of Economic Studies*, 88(6):3041–3085.
- Mahmoudi, S. E. (2023). Late-career unemployment shocks, pension outcomes and unemployment insurance. *Journal of Public Economics*, 218:104751.
- U.S. Census Bureau (2020). 2014 SIPP panel wave 4: Problems with WPFINWGT. SIPP User Note.
- U.S. Census Bureau (2024). *2023 Survey of Income and Program Participation Users’ Guide*. U.S. Department of Commerce, Washington, DC.

U.S. Census Bureau (2025a). 2024 SIPP: Changes to lump sum variables. SIPP User Note.

U.S. Census Bureau (2025b). *2024 Survey of Income and Program Participation Users' Guide*. U.S. Department of Commerce, Washington, DC.

Wang, Y., Zhai, M., and Lynch, Jr., J. G. (2023). Cashing out retirement savings at job separation. *Marketing Science*, 42(4):679–703.